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Ministry of Education - Ethiopia

Ministry of Education

Saturday

Exit Exam 2016 Yekatit

Accounting and Finance

Final Exit Exam With Answers

Feb 2016 E.C

1) Assume that Merchandise with a Home Office cost of birr 10,000 was shipped by the Home Office to ABC Brand Further, assume that the Home Office bill merchandise shipped to ABC Branch at a markup of 50% above Home Office cost. In what amount investment in ABC branch account to be recorded in home office book?

• A) 5,000

Investment In Branch15,000

M Inventory10,000

Overvaluation Of inventory ..5000

• B) 10,000

D

• C) 2,500

• D) 15,000

2) If on May 21, 2015, Mohammed's account of Birr 5,000 with Limmu Company has been written off the amount as uncollectible, which of the following illustrates entry to record the write-off using the allowance method of accounting for uncollectible receivables?

- A) Debit Bad debt expense account and Credit Account Receivables.
- B) Debit Allowance for doubtful account and Credit Account Receivables.
- C) Debit Bad Debt Expense account and Credit Allowance for doubtful Account.
- D) Debit Allowance for doubtful Account and Credit Bad debt expense account

B

At the time of estimate

Bad Debt ExpenseXXX

AFDA.....XXX

When written off

AFDAXXX

ARXXX

3) One of the following is a type of repurchase agreement (repo) with specified end date?

- A) Overnight repo
 - B) Daily repo
 - C) Term repo
 - D) Open repo
- **Overnight repo:** This type of repo has the shortest maturity, typically lasting just one business day.
- **Daily repo:** Similar to overnight repo, a daily repo has a very short term, lasting just one day.
- C** • **Term repo:** This is the type of repo with a specified end date. It can range from a few weeks to several months.
- **Open repo:** This term isn't commonly used in relation to repos. Repos typically have a predetermined end date.

4) A plant asset purchased a cost of 20,000 and its accumulated depreciation 10,000 sold for 15,000. What is the amount of gain or loss on disposal of asset?

- A) 2,000 loss
- B) 5,000 loss
- C) 5,000 gain
- D) 2,000 gain

B

$$\begin{aligned} \text{BV} &= \text{Cost} - \text{ACC dep EX} \\ &= 20,000 - 10,000 = 5000 \end{aligned}$$

Proceed value = 15,000

IF $PV > BV$ Gain

IF $PV < BV$ Loss

So B/C OF $15000 > 10000 = 5000$ Gain

5) The following statements correctly describe the concept of privatization, except:

- A) Transfer of ownership from public to private sector
- B) Transfer of management of enterprise from public to private sector
- C) Withdrawal of the state from the industry partly or fully
- D) Shutdown or closing of all state owned enterprises

D

6) Information related to equipment owned by Ayana PLC at December 31, 2021 shows Cost Birr 900,000, Accumuired Depreciation to date Birr 60,000, Value in use (VIU) Birr 700,000 and Fair value less cost of disposal Bim 500,000, What is the amount of impairment loss, if any?

- A) Birr 100,000

RV= Highest of FV less cost Or Value in used

So RV= 700,000

- B) Birr 140,000

CV= Cost – Acc Dep EX= 900,000-60000= 840,000

B

If CV> RV their is impairment loss

840,000 >700,000 = 140,000

- C) Birr 160,000

- D) No impairment loss

7) A person who is authorized to carry out acts of management and to sign in the name of the company is

- A) Accountant

B

- B) General Manager

- C) Share holder

- D) Auditor

8) Assume that the client has prepared the financial statements in accordance with IFRS and satisfactorily met all wait requirements. However, some of the reports show misstatements whose amount is judged to be immaterial. As an auditor, what type of opinion would you express in such a situation so that the misstatement would not affect the decision of a financial statement user?

- A) Disclaimer of opinion
- B) Qualified opinion
- C) Unqualified opinion
- D) Adverse opinion

C

9) Which one of the following options explains the difference between actual price and budgeted price, multiplied by actual input quantity?

- A) Volume variance
- B) Usage variance
- C) Price variance
- D) Efficiency variance

$$MPV = (AP - SP)AQ$$

C

10) One of the followings is not typical feature of Governmental and not for profit organizations

- A) The ultimate power is in the hands of voters
- B) They do not have equity owners
- C) They face virtually no threat of liquidation
- D) They operate in a competitive market place

D

11) If Bole company provided services on account to Maraki Company with an Invoice No. 51 of Birr 4000, which of the following shows how to journalize the transaction in a special journal?

- A) Debit Accounts receivable account for Birr 5,000, and Credit Fees earned account for Birr 4,000 in purchases journal.
- B) Debit Accounts receivable for Birr 4,000, and Credit Fees earned account for Birr 4,000 in revenue journal
- C) Debit Accounts receivable account for Birr 4,000, and credit Fees earned account for Birr 4,000 in cash payment journal.
- D) Debit Fees earned for Birr 4,000, and Credit Accounts receivable account for Birr 4,000 General journal

B

AR.....4,000

Fee Revenue4000

12) A credit sale of Birr 2,500 is made on January 11, terms 2/10, net/30. A return of Birr 500 is granted on Jan 16, select the amount the company received as payment in full on January 21 from the following items.

• A) Birr 2,500.

On Jan 11
AR2500
Sale2500

• B) Birr 2,460

Jan 16

SRA500
AR.....500

• C) Birr 1,960.

Jan 21
Cash1960
SD.....40
AR.....2000

C

• D) Birr 2,000

13) Which one of the following financial institution acts as the fiscal agent and financial advisor to the Ethiopia's Government?

- A) State bank of Ethiopia
- B) Commercial bank of Ethiopia **C**
- C) National bank of Ethiopia
- D) Development bank of Ethiopia

14) Which of the following reduces the value of audit and assurance services?

- A) Auditors base audit fees on the outcome of engagements.
- B) Auditors give their honest opinion without consideration of consequences.

A

- C) Auditors maintain objectivity and integrity.
- D) Auditors conduct themselves at a high professional level.

15) In which of the following companies first recognize and record the acquisition and related liability on their journals is the acquisition and payment cycle?

- A) When company receives the goods or services from the vendor
- B) When company receives the invoice from the vendor
- C) When purchase requisition is received by the accounting department
- D) When purchase order is prepared

A

16) When is said that an interest bearing note is exchanged at a discount?

- A) When the market interest rate equals the stated rate.
- B) When the market interest rate falls below the stated rate.
- C) When the market interest rate exceeds the stated rate.
- D) When the market interest rate approximates the stated rate.

C

17) In the sales and collection cycle when is, generally, the earliest point at which revenue can be recognized ?

- A) Cash collection
- B) Sales approval
- C) Shipment of goods
- D) Credit approval

C

18) Sales for the year are expected to total 100,000 units. Quarterly sales, as a percentage of total sales, are 20%, 25% 30%, and 25%, respectively. The sales price is expected to be Birr 50 per unit for the first three quarters and Birr 55 per unit in the fourth quarter. Instruction: Given the data above, which of the following alternatives makes the sales budget for 1st and 2nd quarters?

$$\text{Sale Budget} = \text{SP} * \text{Q}$$

$$\text{Q1} = 100,000 * 0.2 = 20,000 * 50 = 1,000,000$$

$$\text{Q2} = 100,000 * 0.25 = 25,000 * 50 = 1,250,000$$

$$\text{Q3} = 100,000 * 0.3 = 30,000 * 50 = 1,500,000$$

$$\text{Q4} = 100,000 * 0.25 = 25,000 * 55 = 1,375,000$$

- A) Birr 5,000,000 and Birr 2,500,000
- B) Birr 1,000,000 and Birr 1,250,000
- C) Bir 1,100,000 and Birr 1,375,000
- D) Birr 20,000 and Birr 25,000

B

19) The General Fund transferred \$700,000 to a Debt Service Fund. The Debt Service Fund would report this transactions as

- A) Other financing source.
- B) A deferred inflow of resources.
- C) A revenue
- D) Contributed capital

A

20) Assume that you are comparing of recorded amounts traced from past data to expectations performed by auditors Which one of the following type of audit test that you are practicing?

- A) Test of detail of balance
 - B) Substantive test of transactions
 - C) Analytical procedures
 - D) Test of control
- C**

•**Substantive test of transactions** : This type of test focuses on individual transactions, often by vouching them to source documents. While it can involve past data, it's not limited to comparing recorded amounts to expectations.

•**Analytical procedures** : This involves analyzing relationships and trends within financial data to identify potential misstatements.

•**Test of control** : This type of test assesses the effectiveness of internal controls over transactions. It wouldn't directly compare recorded amounts to past data or expectations.

In a **test of detail of balance**, auditors compare recorded account balances in the financial statements to underlying documentation or perform calculations to ensure accuracy and completeness

21) Identify the accounts that normally have debit balances:

- A) Assets, expenses, and owner's capital.
- B) Assets, liabilities, and owner's drawings
- C) Assets, owner's drawings, and expenses.
- D) Assets, expenses, and revenues.

C

22) Which income statement format used in merchandising companies to compute net income or net Loss?

- A) Revenue - operating expense

D

- B) Revenue + cost of Goods
- C) Sales revenue + cost of goods sold-operating expense
- D) Sales revenue - cost of goods sold-operating expense

23) The principal qualitative characteristics that financial statements prepared in accordance with IPSASs should have all except?

- A) Comparability
- B) Understandability.
- C) Balance between benefit and cost
- D) Reliability

C

•**Comparability (A):** Financial statements should be comparable across different entities and over time to allow users to make informed decisions.

•**Understandability (B):** The information presented should be clear and concise, allowing users with a reasonable knowledge of business and financial matters to comprehend it.

•**Reliability (D):** The information presented should be faithful and free from material error, reflecting the underlying economic reality of the entity.

Balance between benefit and cost is not explicitly listed as a fundamental qualitative characteristic in the IPSAS framework.

24) Which of the following is correct about variable costing and absorption costing?

- A) Variable costing and absorption costing differ on how to account for fixed manufacturing costs.
- B) Under absorption costing, fixed manufacturing overhead costs are not included as inventoriable cost.
- C) Under variable costing, fixed manufacturing overhead costs are included as inventoriable costs.
- D) Under variable costing, fixed manufacturing costs become a part of cost of goods sold in the period when sales occur.

A

The key difference between variable costing and absorption costing lies in how they treat **fixed manufacturing overhead costs**. Here's a breakdown:

Variable Costing:

- Considers only **variable costs** as part of the product cost.
- Variable costs change in proportion to the level of production (e.g., direct materials, direct labor).
- **Fixed manufacturing overhead costs** are treated as **period costs** and are expensed in the period they are incurred, regardless of production levels. (e.g., rent, factory salaries)

Absorption Costing:

- Includes **both variable and fixed manufacturing overhead costs** in the product cost.
- Allocates a portion of the **fixed manufacturing overhead costs** to each unit produced based on a predetermined allocation base (e.g., direct labor hours, machine hours).

25) According to IFRS 11, it is a separately identifiable financial structure, including separate legal entities of entities recognized by statute, regardless of whether those entities have a legal personality expressed as

- A) Special purpose entity
- B) Separate vehicle
- C) Unit of account
- D) Special purpose vehicle

B

26) Awash Insurance Company collected a premium of Birr 30,000 for a 1-year insurance policy on April 1. What amount should Awash Insurance Company report as a current liability for Unearned Service Revenue at December 31?

• A) Birr 22,000

C

$$30000/12=2500*3$$

• B) Bir 1,500.

• C). Birr 7,500.

• D). Birr 30,000.

27) Which one does not go with the others?

- A) Pension trust fund
- B) Capital projects fund
- C) Permanent fund
- D) Special revenue fund

A

28) If estimated revenues exceed appropriations, closing the budgetary accounts must include which of the following entries?

- A) A debit to Revenues-control
- B) A credit to Budgetary fund balance
- C) A debit to Estimated revenues
- D) A debit to Budgetary fund balance

Estimated RevenueXXX
AppropriationXXX
Fund BalanceXXX

IN Closing entry
AppropriationXXX
Fund BalanceXXX
Estimated RevenueXXX

D

29) Which of the following method would be appropriate with inventory items whose characteristics uniquely differentiate them from other inventory units?

- A) Last-in, first-out
 - B) Average-cost
 - C) Specific identification
 - D) First-in, first-out
- C**

•**Last-in, first-out (LIFO):** This method assumes the most recently purchased items are sold first. It wouldn't be suitable for unique items with distinct costs.

•**Average-cost:** This method calculates an average cost per unit based on all purchases during a period. It wouldn't reflect the specific cost of each unique item.

•**First-in, first-out (FIFO):** Similar to LIFO, FIFO assumes the oldest items are sold first. While it might be closer than average cost, it still wouldn't track the specific cost of each unique item.

•**Specific identification:** This method tracks the individual cost of each unique inventory item. It allows for the most accurate costing of these items when they are sold, reflecting their distinct value.

30) Consider that Company A purchased inventory from Company B on account. At the time of purchase was \$1-50 Ethiopian birr. After three months the dollar value increase and now \$1 exchanged with 51 Ethiopian bin. Therefore, Company B realizes:

- A) Loss

D

- B) Either gain or loss

- C) Neither gain nor loss

- D) Gain

31) Grouping of individual costs whose total is allocated using one allocation base is known as

- A) Cost pool
- B) Allocation base
- C) Cost objective
- D) Cost allocation

A

32) If a city council of City X approved a capital project totaled \$300million, expected to be financed by issuing a 10 years bond and will take 4 years for its completion, which of the following accounts should be credited in record of Capital Projects Fund?

- A) Revenues-bonds

D

- B). Fund balance

- C). Appropriations

- D) Other financing source-long-term debt issued

33) Which of the following controls would be effective method in detecting a failure to record cash received from customers paying on their accounts?

A) A Person in accounting reconciles to the bank deposit to the cash receipts journal

B) Deposits of cash received are made daily.

D

C) Transactions recorded in the cash receipts journal are posted on a real-time basis to the accounts receivable master file

D) Monthly statements are sent to customers and any discrepancies are resolved by someone independent of cash handling and accounting

•**A) A Person in accounting reconciles the bank deposit to the cash receipts journal:** This control ensures the total amount deposited in the bank matches the total recorded cash receipts. However, it wouldn't necessarily reveal missing individual transactions.

•**B) Deposits of cash received are made daily:** While daily deposits reduce the risk of theft, they don't guarantee all cash receipts are recorded. Someone could pocket cash and make the deposit later.

•**C) Transactions recorded in the cash receipts journal are posted on a real-time basis to the accounts receivable master file:** This ensures timely updates to customer accounts, but it relies on the initial recording of the cash receipt, which could be manipulated.

D) Monthly statements are sent to customers and discrepancies are resolved by someone independent: This approach leverages an external party (the customer) to identify any missing cash receipts.

33) For which of the following balancing factors of allocation, spending is under the supervision of the granting authority?

- A) Assignments •**Assignments (A)**: These are typically one-time allocations for specific purposes, often with limited discretion in spending by the recipient. The granting authority might set strict guidelines on how the funds must be used.
- B) Subventions •**Transfers (C)**: Transfers are usually internal movements of funds within the same government entity or between related entities. Spending is likely to be subject to internal controls and budgets set by the overall governing body.
- C) Transfers •**Subsidies (D)**: Similar to subventions, subsidies can involve ongoing financial support. However, they might have less stringent oversight compared to subventions. The level of supervision over spending can vary depending on the specific subsidy program.
- D) Subsidies

B

35) Suppose that P Corporation acquires 90 percent of S Company outstanding stock at its book value for birr 45,000 on January 1, 2022. Fair value of S's asset and liabilities are 75,000 and 10,000, respectively. What is the amount of good will or gain on bargain purchase (negative good will)?

- A) (10,000)
- B) 10,000
- C) 15,000
- D) (15,000)

$$\text{FVNA} = \text{Asset} - \text{Liability}$$

$$= 75000 - 10000 = 65000$$

$$\text{Consideration transfer} = 45000 + (65000 * 0.1) = 51500$$

$$51500 < 65000$$

$$=$$